

Subject Code [2508000705040002]

Veer Narmad South Gujarat University
Minor :DSE-1: Advanced Financial
Management
(Finance Elective Group)

Course	DSE-1 Minor
Course Title	ADVANCED FINANCIAL MANAGEMENT
Credit	4
Teaching per Week	4
Review / Revision	June, 2025
Minimum weeks / Semester	Lectures, PowerPoint presentations, Group Work
Medium of Instruction	English
Purpose of Course	• To provide financial knowledge to students from a company point of view when making financial decisions and also from an investor point of view when making investment decisions in the capital market.
Course Objective	• To equip students with basic tenets of long-term financial decision-making.
Course Outcome	• Evaluate the applicability of the concept of Financial Management to understand the managerial Decisions and Corporate Capital Structure • Analyze the complexities associated with management of cost of funds in the capital Structure • Evaluate how the concepts of valuation of security and dividend policy decisions could integrate while identification and resolution of problems pertaining to Business.

Course Content

Unit 1: Valuation of Securities (Numeric)	(30%)
• Concept of value, • Importance of Valuation, • Bond Valuation: Basic bond valuation, semi-annual interest payment, effect of relation between required rate of return & coupon rate on bond values, effect of years to maturity on bond values, yield to maturity, perpetual bonds. • Equity valuation: Dividend capitalization (Single period/ Multi period), Earnings capitalization Techniques (Numeric), Give a small assignment on equity valuation from BSE and NSE listed companies.	
Unit 2: Cost of Capital (Numeric)	(30%)
• Meaning & significance, • Explicit & implicit cost, • Cost of debt, equity and retained earnings, • Cost of equity through dividend capitalization approach, CAPM & earning price method, • Weighted average cost of capital	
Unit 3: Capital Structure	(20%)
• Meaning and Significance, • Net Income, • Net Operating Income, • Traditional & MM Theory (Including Arbitrage) • Numerical: NI approach, Net Operating Income, Traditional & MM Theory (Excluding Arbitrage)	



Unit 4: Dividend Policy**(20%)**

- Meaning of dividend, forms of dividend, stable and unstable dividend policy,
- Factors affecting dividend policy. types of dividend dates – Ex date, due date, announcement date
- The irrelevance of dividends: MM hypothesis, Relevance of dividends: Walter's model, Gordon's model
- Numerical: MM hypothesis, Walter's model, Gordon's model

Suggested Reading:

- Pandey, I.M. (2010) Financial Management, Vikas Publishing House Pvt. Ltd. New Delhi.
- Jain, P.K. and M.Y. Khan. (2007) Financial Management, 6th Edition. New Delhi: Tata McGraw-Hill Publishing Company Limited.
- Bhala, V.K. (2006) Financial Management and Policy. New Delhi: Anmol Publication Pvt. Ltd.
- Prasanna Chandra, Financial Management-Theory Practice, Tata McGraw Hill Publication.
- P.C. Tulsian, Financial Management – S. Chand Publication

